in his book Political Economy. According to this theory, wage is the residual portion after paying the remuneration of all the other three factors, namely, land, capital and organization.

Criticisms

1. This theory does not explain the role of trade unions which can secure higher wage for workers.
2. Demand side of labour in the determination of wages needs to be considered.

6.7.5 Marginal Productivity Theory of Wages

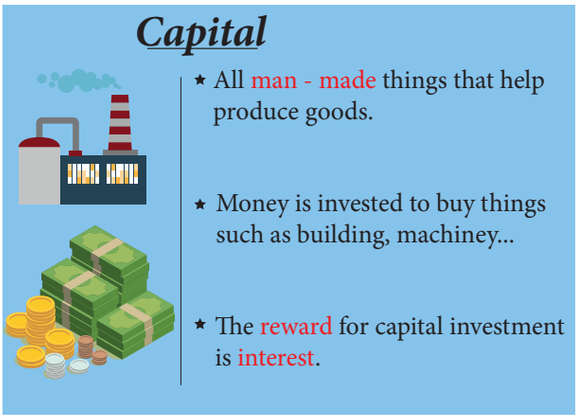
The application of general theory of distribution to wage fixation is the marginal productivity theory of wages.

According to this theory, wages are determined by the marginal productivity of labour and equal to it at the point of equilibrium.

Under perfect competition in the labour market wage is paid equal to marginal product of labour (wage = MP_L) But in real world where there is imperfect competition, there is exploitation of labour and wage is less than MP_L.

6.8 Interest

Generally speaking, interest is a payment made by a borrower to the lender for the money borrowed.



6.8.1 Meaning

Interest is the reward paid by the borrower to the lender for the use of capital.

> "Interest is the price paid for the use of capital in any market"
>
> *-ALFRED MARSHALL*

6.8.2 Kinds of Interest

Gross Interest

Gross interest is the total interest amount received by creditors from debtors.

Gross Interest = (Net Interest) + (reward for inconvenience) + (insurance against risk of non-repayment) + (payment for service of debt management)

Net Interest

Net Interest is only a part of the gross interest. It is the payment for use of capital only. A good example for net interest is the interest payable for Government Securities.

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